

FEDERAL MARITIME COMMISSION

DOCKET NO. 22-21

MSRF, Inc. v. Yang Ming Marine Transport Corporation

RESPONDENT’S MOTION TO COMPEL PRODUCTION OF DOCUMENTS

Yang Ming Marine Corporation (“Respondent” or “Yang Ming”) hereby moves pursuant to 46 C.F.R. 502.147(a)(6) and 502.150 to compel MSRF, Inc. (“MSRF” or “Complainant”) to produce documents thus far withheld, as identified below. Further, given the imminent end of discovery, Respondent moves that the Presiding Officer reduce Complainant’s time to respond to this Motion pursuant to 46 C.F.R. 502.102 to February 1, 2023, so that compelled documents may be produced by February 3, 2023.¹

Before turning to that matter, however, Yang Ming has decided to withdraw parts of its pending January 4, 2023 motion to compel responses to interrogatories and requests for admission (a motion to which Complainant made no substantive objection in its belated response). Yang Ming continues to believe that it is entitled to full and fair responses to each of these discovery responses, but in the interest of time has decided not to press as to some of its requests, either because they are less critical or, in a few cases, because MSRF has informally agreed to provide a new response.²

¹ In the alternative, Respondent would not object to an extension of the discovery period sufficient to allow Complainants to comply with their discovery obligations, as long as Respondent’s briefing time is not shortened and that any revised schedule accommodate Mr. Jeffrey’s absence from May 9, 2023 through May 21, 2023.

² In some cases, MSRF has promised to produce new responses “seasonably.” We take that to mean reasonably soon and certainly well before of discovery (February 17, 2023), not sometime

In particular, Respondent withdraws its Motion to compel with respect to the following (and only the following):

1. Request for Admission (“RFA”) Numbers 3, 7, 9, 26, 29 (if MSRF supplements soon³), 30, and 37.
2. Interrogatory Numbers 3 (if MSRF supplements soon), 6, 22-24 (if MSRF supplements soon), 30, 32, 39 (if MSRF supplements soon), 40 (if MSRF supplements soon), 44 (if MSRF supplements soon), and 45.

INTRODUCTION

As the Presiding Officer is aware from Respondent’s Motion to Compel, Respondent’s Motion for Reconsideration (and subsequent update/status report), Complainant’s responses to Respondent’s first set of discovery requests (dated October 17, 2022) have been repeatedly and substantially delayed. Complainant’s discovery responses were first due November 14, 2022, were then extended to November 29, 2022 by stipulation, and later to December 21, 2022 by Order of the Presiding Officer. On that date, Complainant produced purported responses to Respondent’s Interrogatories and Requests for Admission, but not a single responsive document. It was not until January 3, 2023 that Complainant finally produced any documents.

Unfortunately, as with their response to interrogatories and requests for admission, Complainant’s document production was woefully deficient, with multiple unsound objections and an unwillingness to state that responses to specific document requests were complete and/or that the supplementation referred to in the response will be forthcoming by

in the Spring. Respondent reserves the right to further move if such responses are delayed or inadequate.

³ The terms “soon” and “promptly” mean, for purposes of this Motion, by February 3, 2023. Even that will require the parties either to forego depositions or ask the Presiding Officer for another extension.

a date certain. Respondent identified all but one of the deficiencies to Complainant on January 4, 2023, by email to Complainant's counsel. Complainant failed to respond, so on January 23, 2023, Respondent sent another email reiterating those deficiencies (in more detail and with the additional deficiency).

Complainant finally sent a written response in the late afternoon of January 27, 2023. In that response, Complainant simply stood on its existing production and announced that it would not be providing any supplement.⁴ Because it is impossible for Respondent to reasonably respond to the claims and allegations set forth in the Complaint without the discovery we seek, Respondent has been forced to file two motions to compel (including the instant motion) and expect to soon file a motion to dismiss and/or for sanctions as a result of Complainant's obstreperous failure to comply with its discovery obligations.⁵

Respondent is especially concerned that Complainant has failed to provide any meaningful information respecting alleged damages/reparations. This was required by the FMC's Rules to be disclosed in Complainant's initial disclosures. 46 C.F.R. 502.141(b)(3). As there stated, the initial disclosures must include:

“An estimate of any damages claimed by the disclosing party who must also make available for inspection and copying the documents or other evidentiary material, unless privileged or protected from disclosure, on which the estimate is based, including materials bearing on the nature and extent of injuries suffered.”

⁴ Complainant did provide additional responses to a few of the Interrogatories and Requests for Admission. These are included in the withdrawn items, above.

⁵ In the normal course, we would be prepared to spend additional time trying to work out a discovery agreement with Complainant, but there is no way to do so and still meet the current schedule. Should Complainant seek to modify the schedule to prolong the discovery period, Respondent would in principle be in accord (depending on the specific request). But the schedule is what it is, and so we need to file this Motion now, while there is a possibility of meeting the schedule.

Contrary to this requirement, Complainant did not even mention damages/reparations in its Initial Disclosures.⁶ It did not provide the requisite estimate of reparations it expects to claim; nor did it explain its calculation or what documents it expected to use to support its claim. Respondent did not press Complainant about that deficiency at the time because it expected to obtain that information timely through the discovery process. Complainant, however, has thus far stonewalled all requests for information regarding reparations, so we remain totally unaware of: (i) what Complainant's estimated reparations claims are; (ii) how Complainant has determined its claims for reparations (both as to the theory of reparations and the specific calculation); and (iii) what documents it may use to support its damage claims. As a result of this refusal by Complainant, Respondents remain as much in the dark as they were before the Initial Disclosures. Complainant is of course required to make and support its reparations claim in its opening brief, but Respondent cannot really respond thereto without discovery.

SPECIFIC REQUESTS FOR DOCUMENTS

In this section, Yang Ming addresses the specific document requests as to which Complainant has unreasonably objected or insufficiently responded. As required by the Commission's Rules, Respondent's relevant requests and Complainant's responses are set out verbatim and in full in Attachment A.

1. Introduction

Many of Complainant's purported share a common deficiency. In each case,

⁶ Although Respondent would not normally be expected to claim reparations, unless it had filed a counterclaim, this matter was discussed in *its* Initial Disclosures.

Complainant has (or claims to have) provided some allegedly responsive documents and referred to supplementation in the vague future. No such supplement has been produced; nor has Complainant responded to our request that it confirm either that it intends to supplement (and the date by which it will do so, which must be within the next week to mean anything) or that its production is complete, and no supplement will be forthcoming. Counsel for Respondent reviewed all of the documents produced thus far and have reasonable concerns that at least some responses to Respondent's requests are incomplete. We do not, however, seek to make the Presiding Officer referee disputes about completeness, so will be satisfied by a representation by Complainant's counsel. We do not expect Complainant to use any unproduced documents in its briefs, and will object if it seeks to do so.

2. Enumerated Requests for Documents ("RFD")

RFD 3. MSRF objects to Respondent's request for shipping documents on the basis that this term is vague and ambiguous. Its objection is specious as the term is widely understood within the industry and is used in the FMC's regulations (46 CFR 515.2(k)(4); 46 CFR 515.31(a); 46 CFR 550.202(b)(1)). As we have explained to Complainant's counsel, this term would include the types of documents that might generally be kept in a physical or electronic folder regarding a specific shipment, as well documents that may support or refute the factual allegations made in the Complaint itself (*e.g.*, Allegation 23: "Respondent then proceeded to breach its limited commitments by refusing to honor its service contract, forcing MSRF to purchase services on the spot market for which it had already contracted with Respondent").

MSRF also suggests that it has produced documents responsive to this request, pointing to what seem to be four documents.⁷ The Complaint, however, appears to encompass more than four shipments. If Complainant confirms that there are only four shipments at issue, we believe that this matter could be settled on a commercial basis. If there are more than four shipments, Respondent is entitled to the requested documents concerning those shipments.

RFD 4, 9. MSRF objects to Respondent's request for the production of certain types of internal memoranda or communications of Complainant relating to its alleged attempts to book cargo with Respondent as being irrelevant and already in Yang Ming's possession. The objection as to documents being in Yang Ming's possession is not a valid objection generally, as part of the evidentiary value is that they come from the Complainant's files and so require no authentication.

In any event, Complainant's purported objection is entirely meritless here, as the request is specifically for MSRF "***internal***" documents. Internal memoranda/communications of MSRF are decidedly not in Respondent's possession. The objection based on relevance is at least bordering on frivolous, given the FMC standard: "Parties may obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense." The requested documents are relevant to multiple matters pertaining to Yang Ming's defense, including whether they are consistent with the claims stated in the Complaint, whether MSRF recognized that unusual circumstances were affecting the availability of space on carriers other than Yang Ming, what alternatives were available to MSRF (relevant to both the calculation of damages and the

⁷ It is difficult to tell from Complainant's references when they are talking about a different document or a different page within the same document. Accordingly, we have counted by the number of times they use the referent "DocId."

mitigation thereof), and the degree to which any alleged failure to carry cargo was the result of MSRF's own problems.

MSRF again states that it produced some (by our count, two) documents responsive to this request. That seems awfully low if this were the significant problem Complainant paints in its Complaint. But, as stated above, we do not request the Presiding Officer to investigate. Rather, we ask Complainant's counsel to confirm that, without reference to the specious objections, these are all of the responsive documents in Complainant's possession or control or that it will produce remaining documents soon).

RFD 10. MSRF states that it "will produce" all responsive documents, but we have not come across any documents that appear actually responsive to this request. Nor has Complainant's counsel even responded to Respondent's notice of this deficiency. We again ask that counsel for Complainant either produce any responsive documents promptly or confirm that all responsive documents have already been produced.

RFD 11. MSRF objects to production of internal documents for the same reasons it objects to RFD 4 (and subsequently suggested that they object for the reasons given with respect to RFD 3, even though they raise different issues). These objections are not only invalid for the reasons stated in the above discussion about RFD 4, but at least border on bad faith. The documents requested herein do not duplicate any other request and are obviously relevant to, inter alia, MSRF's claim for damages.⁸ Although not stated in the response, it appears that some of the documents produced on January 3, 2023 may have been intended to respond to this

⁸ If Complainant plans to withdraw its claims for reparations, we are of course ready to withdraw all requests with respect to that issue.

request. Accordingly, as with multiple other requests for documents, we ask that Complainant's counsel either supplement the production promptly or confirm that all responsive documents have already been produced.

RFD 12, 13-17, 19, 20. MSRF objects to production of documents regarding each of these requests on the ground that they are irrelevant. And even after Respondent explained the plain relevance, Complainant simply stood on its prior response. Complainant's objections all border on the frivolous, as each request is relevant, *inter alia*, to MSRF's claim for reparations and its mitigation of its damages (if any).⁹

Complainant may believe that some documents responsive to a few of these requests have already been produced, although any such relevance is unclear to us. In such cases, we again ask Complainant's counsel to confirm that production is complete or that it will supplement soon.

Complainant has also asserted that it does not understand what is intended by RFD 19 and RFD 20. This is both unavailing and ludicrous. The term "door moves" is well understood in the industry and indeed is repeatedly used by MSRF in communications with Yang Ming in the documents that have been produced. The words "cease" and "tendering" are plain English. The term "customer-nominated trucker," used in RFD 20 is also well understood in the industry and MSRF has indeed itself requested the use of a CNT in its relations with Yang Ming.

⁹ These requests are also relevant to other issues germane to the proceeding. For example, RFD 17 is clearly relevant to, *inter alia*, MSRF's assertion that it needed more space and the reasonableness of Respondent's actions.

ARGUMENT

FMC Rule 150 authorizes the Presiding Officer to compel the production of documents where the party responding to a request for production has failed to respond, has made an inadequate response, or has hidden behind specious objections. 46 CFR 502.150. As detailed above, Complainant has provided insufficient responses to the enumerated RFDs, which necessarily prejudice Respondent and make it impossible for Respondent to mount an appropriate defense under the prevailing schedule. Accordingly, the Presiding Officer should issue an order compelling Complainant to respond to the enumerated RFDs, including where appropriate supplementing promptly or confirming that all responsive documents have been produced.¹⁰

CONSULTATION

See the Certificate of Attempt to Confer (Attachment B) regarding Respondent's multiple attempts to confer with Complainant's counsel, as to which they have not responded or responded simply that they stand on their objections. Time does not permit further delay absent a request by Complainant and a grant by the Presiding Officer of another modification of the schedule.

¹⁰ As previously stated, even though our experience tells us there should be more responsive documents, we will not bother the Presiding Officer to monitor completeness if Complainant's counsel will either supplement or confirm that all responsive documents have been produced. Respondent wants to avoid the situation where documents that were not produced in discovery mysteriously appear in Complainant's opening (or reply) brief.

CONCLUSION AND REQUEST FOR RELIEF

For the foregoing reasons, the Presiding Officer should require Complainants to respond hereto by February 1, 2023 and should grant this Motion to Compel and Order Complainant to, by February 3, 2023: (i) produce all documents responsive to Respondent's requests to which Complainant has objected and produced no documents; and (ii) for requests where Complainant has produced some documents, either produce any additional documents or confirm that Complainant has already produced all responsive documents in its possession or control.

DATED: January 30, 2023

Respectfully submitted,

/s/ *Rebecca A. Fenneman*

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ATTORNEYS FOR RESPONDENT

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CERTIFICATE OF SERVICE

I certify that on the 30th day of January, 2023, a true and correct copy of the foregoing **Motion to Compel and Attachments** were served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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